debt. “As a result,” Buffett said, “the shrinkage in the value of their assets has not been accentuated by the effects of leverage.”[7]

Tenet: The One-Dollar Premise

Buffett’s goal is to select companies in which each dollar of retained earnings is translated into a least one dollar of market value. This test can quickly identify companies whose managers, over time, have been able to optimally invest their company’s capital. If retained earnings are invested in the company and produce above-average returns, the proof will be a proportionally greater rise in the company’s market value.

From 1973 to 1992, the Washington Post Company earned $1.755 billion for its owners. From these earnings, the company paid shareholders $299 million and retained $1.456 billion to reinvest in the company. In 1973, the total market value of the Washington Post Company was $80 million. By 1992, the market value had grown to $2.630 billion. Over those 20 years, for every $1.00 the company retained, it created $1.81 in market value for shareholders.

Still, there is one more way to judge the success of the Washington Post Company under Katharine Graham’s leadership. In his very insightful book *The Outsiders: Eight Unconventional CEOs and Their Radically Rational Blueprint for Success*, William Thorndike helps us best appreciate how well both company and its CEO actually performed. “From the time of the company’s IPO in 1971 until [Katharine Graham] stepped down as chairman in 1993, the compounded annual return for shareholders was a remarkable 22.3 percent, dwarfing both the S&P (7.4 percent) and her peers (12.4 percent). A dollar invested at the IPO was worth $89 by the time she retired, versus $5 for the S&P and $14 for her peer group. Katharine Graham outperformed the S&P by *eighteenfold* and her peers by over *sixfold*. She was simply the best newspaper executive in the country during her twenty-two-year period by a wide margin.”[8]

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